

Oil & LPG Market Briefing

~09:00 UTC

Bloomberg · Yahoo Finance · NY Times · TradeWinds

CONFIDENTIAL

EXECUTIVE SUMMARY

- ▶ The de-facto closure of the **Strait of Hormuz** since 28 February (US-Israeli strikes on Iran) is the most disruptive LPG shipping event since Abqaiq 2019. VLGC operators with US Gulf exposure are the primary beneficiaries — those reliant on Middle East liftings are severely constrained.
- ▶ **BLPG1 (Middle East–Japan) has been suspended** by the Baltic Exchange. BLPG3 (US Gulf–Japan) is now the operative VLGC benchmark, with spot rates estimated ~\$52,800/day (+20% in ~4 days, unconfirmed via primary broker data).
- ▶ **Crude at ~\$112/bbl** (WTI \$112.41, Brent \$111.25) — nearly double January 2026 levels, driven entirely by Hormuz risk premium.
- ▶ **China has cut US propane purchases ~48% YoY** (~172,500 b/d vs 329,500 b/d in 2024) on trade tensions — suppressing Mont Belvieu flat prices and the US–Asia arb.
- ▶ **Saudi CP held flat** for April: propane \$615/MT, butane \$605/MT — a stabilization signal despite Hormuz disruption.

PRICES AT A GLANCE

INDICATOR	CURRENT	CHANGE	DIRECTION
WTI Crude	\$112.41/bbl	~+94% YTD	↑ Rising
Brent Crude	\$111.25/bbl	~+\$47.50 vs Apr 2025	↑ Rising
Mont Belvieu Propane	~\$0.605/gal (Feb 2026)	Apr data not yet published	→ Flat
Mont Belvieu Butane	N/A	—	→ N/A
Saudi CP Propane	\$615/MT (Apr 2026)	Flat MoM	→ Flat
VLGC Spot Rate (BLPG3)	~\$52,800/day (unconfirmed)	+20% est. in ~4 days	↑ Rising

* BLPG1 daily quotation suspended by Baltic Exchange as of early March 2026. Mont Belvieu April 2026 EIA data not yet published.

SUPPLY — PERMIAN & US EXPORTS

- Permian natural gas (NGL-rich associated gas) tracking **~29.5 Bcf/d in 2026**, up 1.7% YoY. Crude production mild ~1% decline to 6.52 MMbbl/d.
- NGL takeaway capacity expanding from ~4.4 MMb/d → **~5.5 MMb/d by 2030** via Bahia NGL Pipeline (ExxonMobil/Enterprise, 600 Mb/d), Targa Speedway, and Lone Star Express II.
- US LPG exports averaged ~1.735 MMb/d in Apr–Sep 2025, roughly flat YoY. **Material new export capacity (Enterprise HCT +300,000 b/d) not until H2 2026** — near-term upside limited.
- China's retreat from US propane (~48% YoY decline) is the dominant demand headwind for FOB Mont Belvieu prices. OPIS: "above-average terminal fees, wonky arb, and volatile freight."

DEMAND — ASIA & KEY IMPORTERS

- **China PDH:** 3 new plants (SP Chemical 800kt/y, Sinopec Zhenhai 600kt/y, Yuanjin 750kt/y) scheduled 2026 — but SP Chemical and Yuanjin startups likely delayed on poor PDH margins. Wanhua Chemical retrofit could eliminate **up to 2.17 MMt/y** of propane demand. China redirecting purchases to Middle East and Russia.
- **India:** IOC, BPCL, HPCL signed new US term contracts (~2.0 MMt FY2026 from Chevron, Phillips 66, TotalEnergies). Indian Navy Operation Sankalp escorted 5 LPG carriers out of Hormuz in March. India holding ~90% imports from West Asia via Iran-granted exemptions.
- **Japan/Korea:** Japan ~\$578/MT, Korea ~\$547/MT Q1 2026. Korea US imports down ~20% YoY in 2025. Both capitalizing on lower spot prices to secure US cargoes.

FREIGHT & SHIPPING

⚠ **BLPG1 Suspended:** Baltic Exchange halted daily Middle East–Japan quotations as of early March 2026. No active market on this traditional route. BLPG3 (US Gulf–Japan) is now the only active VLGC benchmark.

- **BLPG3 active and elevated:** ~\$52,800/day circulating in market (social media sourced, unconfirmed vs Clarksons/Fearnleys). Pre-crisis 2026 forecast was \$40,000/day avg.
- **Fleet growth headwind:** 98 vessels delivering in 2026, including **21 VLGCs** (~45% of existing fleet in orderbook) — structural downward rate pressure once Hormuz normalizes.
- **Ton-mile demand surging** on US-origin rerouting — vessels bypassing Gulf entirely, adding significant voyage days.
- **Red Sea/Houthi** attacks resumed 28 February, forcing further Cape of Good Hope rerouting, compounding ton-mile gains.
- **Panama Canal:** No disruption reported — normal status.

OPEC+ & GEOPOLITICS

- **Hormuz effectively closed** to US/Israeli/Western-allied shipping since 28 Feb. Iran granted selective exemptions to China, Russia, India, Iraq, Pakistan flagged vessels (5 March).
- **OPEC supply collapsed ~7.3 MMb/d** through March — lowest since June 2020 — from involuntary Iranian export loss.
- OPEC+ approved modest **+206,000 b/d increase from April** prior to crisis; 5 April ministerial likely maintained this while acknowledging the de facto involuntary cut.
- **Trump ultimatum:** threatened strikes on Iranian power plants/bridges unless Hormuz reopens — keeping risk premium elevated this week.
- **Iran-Oman talks (2 April):** drafting a Hormuz "monitoring protocol" — potential de-escalation signal. No agreement confirmed.

OUTLOOK — NEXT 24–48 HOURS

 Trump / Iran / Hormuz	Any de-escalation signal could trigger \$15–20/bbl crude selloff and reset VLGC rate expectations rapidly.
 Iran-Oman Protocol	Final text could clarify which additional flag states gain transit access — directly impacting Gulf cargo flows.
 EIA Weekly Report (Wed)	Watch propane inventory draw/build data and Gulf Coast export volumes for most recent week.
 Mont Belvieu Pricing	OPIS/Argus April data will clarify where propane sits vs crude. Propane/WTI ratio is historically cheap right now.
 BLPG3 Fixture Confirmations	Clarksons/broker confirmations of US Gulf–Japan fixtures will validate or challenge the ~\$52,800/day headline.
 China PDH Restart News	Any further delay announcements (SP Chemical, Yuanjin) would negatively impact Asian propane demand and arb economics.

SOURCES

WTI ~\$112.41/bbl, Brent ~\$111.25/bbl [Fortune](#) / [CNBC](#)

Saudi CP Propane \$615/MT, Butane \$605/MT [Polymerupdate](#) / [Arab News](#)

Mont Belvieu Propane \$0.605/gal (Feb 2026) [TradingEconomics](#) / [FRED](#)

BLPG1 suspended by Baltic Exchange [Lloyd's List](#)

VLGC rate ~\$52,800/day (+20% in 4 days) [X/@Lucid_Watcher](#) — *unconfirmed, verify vs Clarksons*

21 VLGCs delivering 2026; TC forecast \$40k/day [Hellenic Shipping News](#)

Hormuz crisis timeline; Iran exemptions [Wikipedia](#) / [Al Jazeera](#)

OPEC supply -7.3 MMb/d through March [Eagle Intel Mari](#)

China US propane ~172,500 b/d vs 329,500 b/d [OPIS](#)

China PDH new capacity; Wanhua -2.17 MMt/y [S&P Global](#)

India ~2.0 MMt US LPG FY2026 term contracts [OPIS](#)

Permian NGL takeaway; Bahia Pipeline [RBN Energy](#)

Iran-Oman Hormuz monitoring protocol [CNBC](#)

Data caveats: TradeWinds and Yahoo Finance were paywalled during this run. The BLPG3 ~\$52,800/day figure originates from unverified social media — confirm with Clarksons, Fearnleys, or Baltic Exchange before using in any commercial or investor communication. Mont Belvieu April 2026 EIA data not yet published; February 2026 (\$0.605/gal) is the most recent confirmed data point.